



**CBE POLICY
ENVIRONMENTAL AND SOCIAL GOVERNANCE POLICY (ESG) POLICY
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I. Environmental, Social and Governance (ESG) Policy

CBEs ESG Policy provides the commitment and framework from which this ESMS has been developed and is presented below. The purpose of the ESMS is to ensure that all commitments made in the policy can be met, including CBE's commitment to continual improvement. This is a controlled document that is reviewed at regular intervals and updated as needed to ensure that it remains aligned with good international industry practice (GIIP) and CBE's E&S Compliance Framework.

II. Implementation of ESG Policy Requirements

CBE purchases projects on completion and, therefore, works through partners and third-party contractors to construct, operate and maintain its facilities. Even though most of the operational activities associated with CBE projects are conducted by non-CBE employees, our ESG approach ensures that we only contract with third parties who operate in a manner consistent with our ESG criteria.

Our ESG policies are aligned with local laws and regulations as well as Performance Standards and best practices set out by the IFC -- the global benchmark for Corporate Social Responsibility (CSR) frameworks. The IFC Performance Standards most relevant to the CBE's operations are PS2 'Labour and Working Conditions' and PS4 'Community Health, Safety & Security'.

Most critically, the ESMS is in alignment with IFC PS 1, which underscores the importance of managing social and environmental performance throughout the life of a project. An effective social and environmental management system is a dynamic, continuous process, which is facilitated by the PLAN-DO-CHECK-ACT model (refer to Figure 1.1), and which is used as CBE's ESMS framework.

Environmental, Social and Governance Policy

Central to CBE's mission is the desire to have a lasting social, environmental and economic impact in the markets we serve. To fulfil this mission, we have developed this Environmental, Social and Governance policy, which will be incorporated into our day-to-day decisions, our ongoing contractual agreements and our long-term investment activities in Africa.

CBE recognizes the importance of improving our ability to monitor and mitigate the impacts of our solar PV projects on the environment, and on our worker's and our surrounding community's health, safety and security, as a result of our project activities during construction, operations and decommissioning.

In order to effectively monitor and mitigate against such impacts, CBE commits to:

- Full compliance with local laws and regulations as a minimum;
- Alignment of our policies and activities with the requirements of the Performance Standards and best practices, as set out by the IFC, and other applicable requirements of our Investors.
- Continually improve the Environmental and Social Management procedures set out in this document. This will be ensured through the analysis of performance in management of Health, Safety, Environmental, Social and Security risks and impacts, and through the analysis of selected Key Performance Indicators (KPI), and through the application of other relevant learnings experienced during the implementation of the ESMS.
- Contract only with third parties who operate in a manner consistent with our ESG criteria. To achieve these goals, CBE will actively clarify standards required of third parties and regularly monitor their corresponding compliance outcomes.
- Through implementation of the ESG policy, CBE hope to have a positive influence on the solar ecosystem in Africa and to set an example for sustainable management and growth in this sector.

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III. Labour and Working Conditions

The Labour and Working Conditions policy aspects are aimed at fostering a positive relationship between CBE, its partners and all workers (employees, contractors or otherwise) engaged in project activities. It is important to CBE and its stakeholders that we uphold the highest ethical and professional standards with regard to labour issues and that in all instances, we comply with local, national and international employment and labour laws.

In developing the guidelines for this aspect of the policy, we drew upon 'Performance Standard 2' in the IFC framework and the 'Labour and Human Resources (LHR)' requirements outlined by OPIC in our debt diligence process. Cognisance of the International Labour Organizations (ILO) conventions were also considered, as many of the countries in which CBE work, are signatories to the ILO conventions.

POLICY ASPECT	POLICY STRATEGY
Working Conditions & Employment Terms	A clear and understandable employment contract will be made available to all workers within thirty (30) days of the date of work commencement. This contract will comply with national labour and employment laws and established collective bargaining agreements.
	CBE and / or its execution partners must identify migrant workers and ensure their terms of employment are substantially equivalent to those of non-migrant workers engaged in comparable work.
Working hours	Hourly and quota-based workers will not be required to work more than 48 standard hours of work per week and that all workers shall be guaranteed a weekly 24-hour rest period.
Worker payment	All wages, including all legally mandated bonus pay and premium pay for overtime work, will be paid in full, in legal tender, and in a timely fashion to workers, except when workers have agreed otherwise.
Workers' Organizations	There will be no interference or undue control exerted on workers' collective efforts to develop alternative means to express their grievances. Companies are also expected to make reasonable compromise by allowing workers to meet and discuss workplace issues outside of working hours.
Workplace Grievance Mechanism	A clear policy and procedure for expressing workplace concerns will be established by all parties involved in CBE projects and communicated to all workers. The grievance mechanism will be made easily accessible to all workers. The Grievance Mechanism will be printed and posted on a clearly visible message board at the project site. The print-out will include a) a concise outline of the grievance procedures and underlying rationale and b) contact details for the Project Supervisor / Coordinator and for the relevant contact at CrossBoundary Energy.

Community Grievance Mechanism	A clear policy and procedure for the public to communicate concerns stemming from the project to the Project Developer will be established. The 'Community Grievance Mechanism' will be printed and posted on a message board outside the site (e.g. on the gate or external-facing wall) that is clearly visible to the public. The print-out will include a) a concise outline of the grievance procedures and underlying rationale and b) contact details for the Project Supervisor / Coordinator and for the relevant contact at CrossBoundary Energy.
Non-Discrimination & Equal Opportunity	Employment decisions will not be based on personal characteristics unrelated to inherent job qualifications. Companies will also take active measures to prevent and not endorse any harassment within the workplace. The expectation is that reasonable accommodations will be made for all disabled employees and that special measures of protection or assistance will be targeted to underrepresented groups in the workforce.
Workforce Protection	Not employ persons, formally or informally, under the age of fifteen (15) for general work and persons under the age of eighteen (18) for work involving hazardous activity.
	Workers will enter employment and contractor relationships at their liberty and will not be forced into any kind of service that is not voluntarily performed. In recognition of the vulnerability of migrant workers and trafficked persons who lack legal status in a country, it is expected that the relevant parties will conduct adequate diligence in selecting any contractors that will be supplying labour.
Occupational Health & Safety (OHS)	Proactive efforts will be made to protect workers from injury and illness. This entails the identification of potential hazards and adequate responses through design, testing, and work processes to eliminate all avoidable risks to employees' health and well-being. For inherently hazardous workplace environments personal protective equipment will be provided at no cost to the worker. In addition, workers will have the right to remove themselves from hazardous situations without jeopardizing their continued employment. Project activities will be conducted with sensitivity to risks that may be specific to women, including sexual harassment and where possible will providing separate toilet and locker facilities for male and female employees.

IV. Environment, Resource Efficiency and Pollution Prevention

The Environment, Resource Efficiency and Pollution Prevention policy aspect is focused on understanding the environmental and resource impact of CBE's solar projects (including all construction and O&M activities associated with the project). This policy area outlines CBE's approach for minimizing natural resource consumption, emissions and pollutants associated with our solar installations.

This policy area draws upon 'Performance Standard 3' in the IFC project compliance framework and from OPIC's 'Environmental and Social (E&S)' compliance requirements.

POLICY AREA	POLICY STRATEGY
Water Consumption	Water resources are used to clean the solar panels on a monthly basis (as part of regular project O&M). Efforts will be made to ensure water consumption remains minimal throughout the project life.
Pollution Prevention	Where there has been a contamination of the project site (even if it occurred prior to installation of the solar system), CBE will seek to determine who is legally responsible for managing the contamination. If CBE and / or one of its project partners is responsible, site clean-up will be performed in a manner consistent with the objectives of this policy area.
Wastes	Companies must investigate options for waste avoidance, waste recovery or recycling, and as a last resort, waste disposal during the construction and operational stages of the project.
Pesticide Use/Management	Pesticide use will be minimized or avoided with special attention paid to the health and safety of workers, as well as the broader community. Where employed, a program to discontinue the use of pesticides will be established according to the Stockholm Convention. Integrated pest management and integrated vector management approaches will be promoted.
Solar Panel Disposal	CBE's solar contracts are between 10-25 years in length, whilst the productive lifetime of the underlying solar equipment is typically greater than 30 years. To prevent environmental damage caused by solar panel disposal, CBE must plan many years in advance to ensure its solar panels can either be re-used, recycled or – as a last resort – disposed in a way that prevents mass landfill usage or contamination. Firstly, CBE will maximize the productive lifetime of each solar panel to reduce equipment disposal rates. This will be done by; a) offering extended PPA/O&M terms to clients at the end of each contract and b) re-deploying or selling CBE-owned solar equipment at the end of each contract. Where CBE-owned panels cannot be re-sold, redeployed or have reached the end of their productive life, CBE will recycle the panels at its own expense. Many of CBE's OEM partners already have (or are in the process of building) global recycling services, including Yingli, Trina Solar and First Solar.

Battery Disposal	CBE will confirm the location of appropriate battery disposal facilities prior to commencement of any new project. Batteries will be disposed of at CBEs expense. Alternatively, the supplier of batteries should be obligated to accept old batteries as part of their contract agreement. we
Sourcing and Supply Chains	To the best of their knowledge, CBE will not procure items that have been produced using conflict minerals (key minerals used in PV panels including aluminium, copper, indium, iron, lead, molybdenum, nickel, silver, and zinc) ^{1, 2} .

V. Community Health, Safety and Security

The Community Health, Safety and Security aspect is focused on understanding the impact of CBE's project activities on the surrounding community and minimizing the associated risks. CBE's guidelines in this area include policies pertaining to health risks, general worker safety, site security and ecosystem risks.

This policy area draws upon 'Performance Standard 4' in the IFC project compliance framework and from OPIC's 'Environmental and Social (E&S)' compliance requirements.

POLICY AREA	POLICY STRATEGY
Hazardous Materials Management and Safety	For each project, a thorough evaluation of the risks posed to the community will be conducted and steps taken to abate these risks. Where possible, use of hazardous materials will be avoided / minimized (e.g. for battery systems) to avoid impact to the environment.
Traffic Management	For projects that operate moving equipment on public roads and other forms of infrastructure, CBE will seek to avoid the occurrence of incidents and injuries to members of the public associated with the operation of such equipment, through the implementation of a Traffic Management Plan.
Ecosystem Services	Solar system construction and maintenance activities will aim to protect natural resources to the furthest extent possible (including minimizing changes to the natural vegetation or topography).
Community Exposure to Disease	Solar system construction and maintenance activities will aim to avoid or minimize the spread of infectious diseases, as well as any adverse impact on food supplies and the spread of other communicable diseases. In relevant cases, this will involve establishment of surveillance programs to screen the health of their workers. Greater precaution will be taken in higher risk communities and industries where there are high incidences of severe diseases

Security Personnel Requirements	For each project, a balance between the risk and the extent of security services employed will be made. Careful consideration will also be made regarding the risk of increased communal tensions due to security presence associated with the project, with efforts made to involve workers in discussions about their security requirements. Expectations of appropriate conduct of security staff should be clearly communicated, especially where personnel are permitted to use force. If such permission is granted, force will only be permitted as a matter of last resort. In cases where companies have less control over their security personnel, such as where the government is the sole provider of security services, companies are still expected to encourage those forces to behave in a manner consistent with the requirements set out in this Standard.
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